

MyStudyBro - Revision Exercise Tool

This Revision Handout includes the Questions and Answers of a total of 5 exercises!

Chapters:

Final Accounts of LTD - Unit 2 (Pearson Edexcel)

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- 4 Saidpur Fashions plc produces a range of clothing at its factory. The clothing is then delivered to Saidpur Fashions plc's shops for sale to customers.

At 31 December 2018, the following balances were in the books.

	Debit £	Credit £
5.75% Bank Loan, repayable 2022		400 000
Cash and cash equivalents	16 783	
Direct materials	421 108	
Discount allowed	8 274	
Discount received on materials		20 766
Factory buildings (at cost)	1 250 000	
Factory machinery (carry over value)	158 000	
Fuel	87 584	
Hire of delivery vans	3 190	
Interest on bank current account	2 843	
Interest received		3 241
Inventory of finished goods at 1 January 2018	127 952	
Irrecoverable debts written off	6 151	
Maintenance	28 539	
Marketing events	71 382	
Motor lorries (carry over value)	196 000	
Office computers	78 000	
Ordinary shares of £1		1 400 000
Power	82 460	
Provision for irrecoverable debts		4 800
8% Redeemable Preference shares of £1		600 000
Rent on shop premises	24 565	
Retained earnings		1 257 993
Revenue		2 277 920
Shop buildings (at cost)	2 385 000	
Trade payables		35 560
Trade receivables	132 000	
Vehicle running costs	44 098	
Wages	876 351	
	<u>6 000 280</u>	<u>6 000 280</u>

Adjustments and additional information at 31 December 2018

- Inventory of finished goods £131 875
- Hire of delivery vans, £6 848, owing.
- Rent on shop premises includes £1 764 prepaid.
- Maintenance is divided between the factory, distribution and the office in the ratio 6:2:1
- Power is divided between the factory, distribution and the office in the ratio 4:1:2
- Fuel is divided between the factory and distribution in the ratio 1: 7
- Shop staff receive a commission of 1.25% as a year-end bonus on all sales made. This has yet to be entered in the books.
- Wages include

	£
Delivery staff	143 521
Factory cleaners	35 879
Office staff	101 065
Production staff	378 496
Shop staff	217 390

- Assuming a nil residual value in each case and using the straight line method:
 - the factory buildings are to be depreciated over a 50-year life
 - the shop buildings are to be depreciated over a 45-year life
 - the office computers are to be depreciated over a 4-year life.
- The following are to be depreciated using the reducing balance method:
 - motor lorries at 35%
 - factory machinery at 30%.
- A corporation tax provision for £27 000 is to be made.

You are a member of the Accounts Department. The Senior Accountant has asked you to carry out the following tasks.

- (a) Prepare a detailed schedule for each of the following, ready for inclusion in the year-end financial statements, using the appropriate information.
 - (i) Cost of sales section (9)
 - (ii) Distribution costs section (11)
- (b) Prepare the Statement of Profit or Loss and Comprehensive Income for the year ending 31 December 2018 for Saidpur Fashions plc, up to and including the Gross Profit. The statement should be set out in accordance with International Accounting Standard (IAS) 1. (4)
- (c) Evaluate the importance of the Directors' Report in the Annual Report. (6)

(Total for Question 4 = 30 marks)

Question Number	Answer	Mark
4(a)(i)	AO1 (2), AO2 (5), AO3 (2) AO1: Two marks for wages items and total. AO2: Five marks for all other items in cost of sales except depreciation. AO3: Two marks for depreciation items.	(9)

Cost of Sales			
Direct Materials	421 108		
Less Discount Received	(20 766)	(1) both	AO2
Factory Depreciation	25 000	(1)	AO3
Machinery Depreciation	47 400	(1)	AO3
Factory Fuel	10 948	(1)	AO2
Factory Power	47 120	(1)	AO2
Maintenance	19 026	(1)	AO2
Production staff	378 496		
Factory cleaners	35 879	(1) both	AO1
Opening Inventory Finished Goods	127 952		
Less Closing Inventory Finished Goods	(131 875)	(1) both	AO2
	960 288	(1of)	AO1

Question Number	Answer	Mark
4(a)(ii)	AO1 (2), AO2 (7), AO3 (2) AO1 : Two marks for running costs and marketing items and total. AO2 : Seven marks for all other items in distribution costs except depreciation. AO3 : Two marks for depreciation items.	(11)

Distribution Costs			
Commission on sales	28 474	(1)	AO2
Fuel	76 636	(1)	AO2
Hire of delivery vans	10 038	(1)	AO2
Maintenance	6 342	(1)	AO2
Motor lorries depreciation	68 600	(1)	AO3
Power	11 780	(1)	AO2
Rent on Shop premises	22 801	(1)	AO2
Shop premises depreciation	53 000	(1)	AO3
Vehicles running costs	44 098	(1) both	
Marketing events	71 382		
Shop staff wages	217 390	(1) both	
Delivery staff wages	143 521		
	754 062	(1of)	AO1

Question Number	Answer	Mark
4(b)	AO1 (1), AO3 (3) AO1 : One mark for heading. AO3 : Three marks for revenue, cost of sales and gross profit.	(4)

Statement of Profit or Loss and Comprehensive Income for year ending 31st December 2018 (1) AO1		
Revenue	2 277 920	(1) AO3
Cost of sales	(960 288)	(1of) AO3
Gross profit	1 317 632	(1of) AO3

Question Number	Indicative Content	Mark
4 (c)	AO4 (6) <u>Case For Directors' Report</u> Report gives information to e.g. shareholders which they could use to make a decision e.g. invest more funds in the company. Shareholders / readers may be assured the company is acting in an ethical manner Other stakeholders e.g. pressure group may use information in the Report to bring about change in company policy e.g. treatment of disabled Disclosures may be required under Stock Exchange regulations, which may be appropriate in the Directors' Report e.g. legislation pending Information is given to shareholders which allows them to see in some detail how the company is performing ▪ E.g. principal activities, review of position of business ▪ Post balance sheet events, future developments ▪ Names of directors, interests of directors ▪ Employee involvement, disabled employees policy ▪ Political and charitable donations ▪ Creditor payment policy, creditor payment days <u>Case Against Directors' Report</u> Report costs personnel time to prepare and money to print etc Directors may use Report to "window dress" accounts, give an unrealistic positive view of the company, as it is in their interest to do so. <u>Decision</u> Should relate to above points. E.g. Directors' Report is useful.	(6)
Level	Mark	Descriptor
	0	A completely incorrect response.
Level 1	1-2	Isolated elements of knowledge and understanding which are recall based. Generic assertions may be present. Weak or no relevant application to the scenario set.
Level 2	3-4	Elements of knowledge and understanding, which are applied to the scenario. Some analysis is present, with developed chains of reasoning, showing causes and/or effects applied to the scenario, although these may be incomplete or invalid.

		An attempt at an evaluation is presented, using financial and perhaps non-financial information, with a decision.
Level 3	5-6	Accurate and thorough knowledge and understanding. Application to the scenario is relevant and effective. A coherent and logical chain of reasoning, showing causes and effects is present. Evaluation is balanced and wide ranging, using financial and perhaps non-financial information and an appropriate decision is made.

- 4 This table shows the Statement of Profit or Loss and Other Comprehensive Income and notes to the financial statements of Paola Products plc for the year ended 31 December 2017. The Statement of Profit or Loss and Other Comprehensive Income has been drawn up in accordance with International Accounting Standard (IAS) 1.

Statement of Profit or Loss and Other Comprehensive Income for Paola Products plc for year ended 31 December 2017		Notes	
	£	Cost of sales	
		Opening inventory	3 764
		Direct materials	160 480
Revenue	1 183 693	Less discount received	(4 012)
		Factory depreciation	29 500
Cost of sales	<u>(408 549)</u>	Machinery depreciation	24 000
		Factory power	14 270
Gross profit	775 144	Machinery maintenance	18 970
		Production staff	165 432
Other income	10 000	Less closing inventory	<u>(3 855)</u>
			<u>408 549</u>
Distribution costs	(449 716)		
		Distribution costs	
Administrative expenses	(132 928)	Commission on sales	52 750
		Fuel	17 783
Financial cost	<u>(34 500)</u>	Motor lorries depreciation	27 610
		Promotions and advertising	35 000
Profit on ordinary activities before tax	168 000	Rent on warehouse premises	147 888
		Running cost of lorries	13 750
Corporation tax	<u>(36 000)</u>	Shop staff wages	98 590
		Transport staff wages	<u>56 345</u>
Profit on ordinary activities after tax	<u><u>132 000</u></u>		<u><u>449 716</u></u>

		Administrative expenses	
		Bad debts written off	3 850
		Decrease in allowance for doubtful debts	(3 000)
		Discount allowed	23 541
		Office stationery	1 579
		Accountancy staff wages	34 568
		Office staff wages	<u>72 390</u>
			<u>132 928</u>
		Financial cost	
		Interest on debenture	<u>34 500</u>

Required

- (a) (i) Calculate the percentage of discount received on purchases of direct materials.

(2)

Machines are bought for £11 000 each and last for seven years before being sold for £500 each.

The machines are depreciated using straight line depreciation.

- (ii) Calculate the number of machines Paola Products plc owns.

(5)

- (iii) State **two** reasons that may explain the difference between the value of opening inventory and the value of closing inventory.

(2)

The cost of renting the warehouse is £26 per square metre per year.

- (iv) Calculate the size of the warehouse in square metres.

(1)

- (v) State **two** actions that may be taken in the future to decrease the amount of bad debts written off.

(2)

- (vi) State **two** reasons that may explain the change in the amount of the allowance for doubtful debts.

(2)

The interest rate on the debenture is 5.75% per year.

(vii) Calculate the value of the debenture.

(3)

The Other Income is a gain made by buying and selling shares in another company through the stock exchange. Paola Products plc bought £50 000 worth of shares at a price of £1.25 per share. All the shares were sold.

(viii) Calculate the price of each share at the time of sale by Paola Products plc.

(4)

No corporation tax is due on the first £24 000 of profit.

(ix) Calculate the rate of corporation tax charged on profit over £24 000 per year.

(3)

International Accounting Standard 1 (IAS1) recommends costs to be placed under the headings of cost of sales, distribution costs, administrative expenses and financial cost.

(b) Evaluate the IAS recommendation.

(6)

(Total for Question 4 = 30 marks)

Question Number	Answer	Mark
4 (a)(i)	A02 (2) A02: Two marks for correct calculation of percentage of discount received. $\frac{4\,012}{160\,480} \times 100 \text{ (1) AO2} = 2.5\% \text{ (1) AO2}$	(2)

Question Number	Answer	Mark
4 (a)(ii)	A01 (1), A02 (4) A01: One mark for correct calculation of total depreciation on each machine. A02: Four marks for correct calculation of number of machines. Total depreciation per machine = $11\,000 - £500 = £10\,500$ (1) AO1 Depreciation per year = $\frac{£10\,500}{7}$ (1of) AO2 = 1 500 per year (1of) AO2 Number of machines = $\frac{24\,000}{£1\,500}$ (1) AO2 = 16 machines (1of) AO2	(5)

Question Number	Answer	Mark
4 (a)(iii)	A01 (2) A01: Two marks for correct reasons for inventory increasing. Company are having difficulty selling inventory (1) AO1 Company decided to hold a larger inventory (1) AO1 Inflation (1) AO1	(2)

Question Number	Answer	Mark
4 (a)(iv)	A02 (1) AO2: One mark for correct calculation of size of warehouse. $\frac{\pounds 147\,888}{\pounds 26} = 5\,688 \text{ square metres (1) AO2}$	(1)

Question Number	Answer	Mark
4 (a)(v)	A02 (2) AO1: Two marks for correct action to reduce bad debts. Stop selling on credit (1) AO1 Take firmer action with credit control e.g. be firmer chasing up debts (1) AO1	(2)

Question Number	Answer	Mark
4 (a)(vi)	A02 (2) AO2: Two marks for correct reasons for reducing provision for bad debts. Less of the year end trade receivables are thought to be possibly bad (1) AO2 Provision is a fixed percentage of year-end trade receivables, and trade receivables at the year-end are lower than last year (1) AO2	(2)

Question Number	Answer	Mark
4 (a)(vii)	A02 (3) A02: Three marks for correct calculation of percentage of interest on debenture. $X \times 5.75\% = £34\,500$ $\text{So } X = \frac{£34\,500}{5.75\%} \text{ (1) AO2} = £600\,000 \text{ (1) AO2}$	(3)

Question Number	Answer	Mark
4 (a)(viii)	A02 (4) A02: Four marks for correct calculation of selling price of share. $\frac{£50\,000}{£1.25} = 40\,000 \text{ shares (1) AO3}$ $£50\,000 + £10\,000 \text{ Profit} = \text{Sold for } £60\,000 \text{ (1) AO3}$ $\frac{£60\,000}{40\,000 \text{ shares}} \text{ (1) AO3} = £1.50 \text{ per share (1) AO3}$	(4)

Question Number	Answer	Mark
4 (a)(ix)	A03 (3) A03: Three marks for correct calculation of percentage of corporation tax. $£168\,000 - £24\,000 = £144\,000 \text{ (1) AO3}$ $\frac{£36\,000}{£144\,000} \times 100 \text{ (1) AO3} = 25\% \text{ (1) AO3}$	(3)

Question Number	Indicative Content		Mark
4 (b)	AO4 (6) For decision Allows readers of financial statements to understand a given, uniform presentation. Allows readers of financial statements to compare companies. Enables companies to see how various sections of the business are performing i.e. production, distribution, and administration. The subdivisions may be helpful in determining internal decision making e.g. price setting, budget preparation. Against decision May add to the complexity of producing and reading financial statements. There are some items/expenses that may be placed in more than one section, which may make comparisons invalid. Decision Probably a good recommendation to divide up expenses into the given sub-headings.		(6)
Level	Mark	Descriptor	
	0	A completely incorrect response.	
Level 1	1-2	Isolated elements of knowledge and understanding which are recall based. Generic assertions may be present. Weak or no relevant application to the scenario set.	
Level 2	3-4	Elements of knowledge and understanding, which are applied to the scenario. Some analysis is present, with developed chains of reasoning, showing causes and/or effects applied to the scenario, although these may be incomplete or invalid. An attempt at an evaluation is presented, using financial and perhaps non-financial information, with a decision.	

Level 3	5-6	Accurate and thorough knowledge and understanding. Application to the scenario is relevant and effective. A coherent and logical chain of reasoning, showing causes and effects is present. Evaluation is balanced and wide ranging, using financial and perhaps non-financial information and an appropriate decision is made.
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Question Number	Answer	Mark
5 (a)(i)	A02 (2), A03 (4) A02: Two marks for correct insertion of debenture and reserves and correct calculation of return on capital employed. A03: Four marks for correct calculation of net profit before interest and tax, and value of share capital.	(6)

Return on Capital employed = $\frac{\text{Net profit before interest and tax}}{\text{Capital employed}} \times 100$

$$= \frac{£412\,000 \text{ (1) AO3} + £96\,000 \text{ (1) AO3}}{(£6\,000\,000 \text{ (1) AO3} + £2\,000\,000 \text{ (1) AO3} + £1\,200\,000 + £800\,000 \text{ (1) AO2 both})}$$

$$= \frac{£508\,000}{£10\,000\,000} \times 100 = 5.08\% \text{ (1) AO2}$$

Question Number	Answer	Mark
5 (a)(ii)	A02 (2), A03 (3) A02: Two marks for correct calculation of ordinary shares issued and earnings per ordinary share. A03: Three marks for correct calculation of net profit after tax and preference dividends.	(5)

Earnings per ordinary share = $\frac{\text{Net profit after tax} - \text{preference dividend}}{\text{Issued ordinary shares}}$

$$= \frac{£412\,000 \text{ (1) AO3} - £92\,000 \text{ (1) AO3} - £120\,000 \text{ (1) AO3}}{8\,000\,000 \text{ (1) AO2}} = 2.5 \text{ pence per share (1) AO2}$$

SECTION A**Answer BOTH questions in this section.**

- 1** Brama Sun plc manufactures solar panels at its factory. The solar panels are then delivered to the company's shops, before sale to customers. At 31 March 2017, the following balances were in the books.

	Debit	Credit
	£	£
7.5% debenture March 2021		1 200 000
8% bank loan – repayable December 2017		150 000
Allowance for doubtful debts		15 000
Auditors fees	18 500	
Bad debts	26 000	
Bank current account	117 000	
Bank current account interest		1 000
Cash	58 000	
Commission on sales	94 530	
Delivery costs	178 000	
Direct materials	2 150 000	
Discount allowed	87 000	
Discount received		43 000
Factory buildings (carrying value)	3 680 000	
General reserve		56 000
Goodwill	90 000	
Head office expenses	510 000	
Interest on bank loan	11 000	
Interest on debenture	45 000	
Inventory at 1 April 2016	772 000	
Marketing	324 000	
Motor vans (cost)	384 000	
Motor vans (provision for depreciation)		176 000
Motor vans running expenses	43 000	
Ordinary shares of £0.50 each		3 700 000
Other payables		17 500
Power	656 000	
Production machinery (carrying value)	439 000	
Rent on warehouse	280 000	

Retained earnings	624 470	
Revenue		9 864 000
Trade fairs and exhibitions expenses	110 000	
Trade payables		175 000
Trade receivables	821 000	
Wages	<u>3 879 000</u>	<u> </u>
	<u>15 397 500</u>	<u>15 397 500</u>

Additional information at 31 March 2017

- Inventory £779 000
- Rent on warehouse paid in advance is £23 000
- Wages consist of:

	£
Delivery staff	476 000
Direct factory labour	1 890 000
Head office staff	881 000
Sales staff	632 000

- The factory buildings are being depreciated over a 50-year life, using the straight line method. Ten years' depreciation has been calculated to date. Depreciation for the present year needs to be calculated and entered into the books. There have been no additions or disposals since the purchase of the factory buildings.
- The motor vans are to be depreciated over a five-year life assuming a nil residual value, using the straight line method.
- The production machinery is to be depreciated at 10% per year, using the reducing balance method.
- There is a power bill for £24 000 outstanding.
- Power is to be apportioned on the following basis:
 - Factory 70%
 - Warehouse 10%
 - Shops 15%
 - Head office 5%
- Corporation tax of £218 000 has been calculated, which is to be paid by 30 June 2017, and a provision needs to be made.
- The allowance for doubtful debts is to be 2% of trade receivables.
- There is one month's interest owing on the bank loan.
- The interest payments on the debenture are made in two equal instalments at the end of September and the end of March. The payment for March is outstanding.

Required

- (a) Prepare, in accordance with International Accounting Standard (IAS) 1, a:
- (i) Statement of Profit or Loss and Other Comprehensive Income for the year ended 31 March 2017. (27)
 - (ii) Statement of Financial Position at 31 March 2017. (16)
- (b) Evaluate the importance of the role of the auditor in limited companies. (12)

(Total for Question 1 = 55 marks)

Question Number	Answer	Mark
1 (a)(i)	AO1 (10), AO2 (16), AO3 (1) AO1: Ten marks for Direct labour and materials, opening and closing inventory, marketing and trade fairs, discount allowed and motor vehicle running expenses, delivery costs and sales commission, sales and delivery staff wages, auditors fees and bad debts written off, head office expenses and staff, corporation tax, AO2: Sixteen marks for factory and machinery depreciation, factory power, warehouse rent, depreciation on motor vans, warehouse, shops and head office power, bank loan and debenture interest, revenue and cost of sales, gross profit, other income and distribution costs, administration expenses and financial cost, profit on ordinary activities before and after tax. AO3: One mark for Increase in Bad debt provision	(27)

			W1 Cost of Sales			
[10 AO1] [16 AO2] [1 AO3]			Direct factory labour	1890000		
Statement of Comprehensive Income for			Direct Materials	2150000	AO1	both
<u>Brama Sun plc for y/e 31 March 2017</u>			Less Discount Received	-43000	AO1	
			Factory Depreciation	92000	AO2	
Revenue	9864000		Machinery Depreciation	43900	AO2	
		both	Opening Inventory	772000		
Cost of sales	(4601900)	AO2 o/f	Less Closing Inventory	-779000	AO1	both
			Factory power	476000	AO2	
Gross profit	5262100	AO2 o/f		4601900		6
			W2 Distribution Costs			
Other Income	1000		Marketing	324000		
		any 2	Trade fairs and exhibitions	110000	AO1	both
Distribution costs	o/f (2448330)	AO2	Discount Allowed	87000		
			Motor vehicle running expenses	43000	AO1	both
Administrative expenses	o/f (1470920)		Rent on warehouse	257000	AO2	

		any 2	Depreciation on motor vans	76800	AO2	
Financial cost	o/f (102000)	AO2	Sales Commission	94530		
			Delivery costs	178000	AO1	both
Profit on ordinary activities before tax	o/f 1241850	AO2	Sales staff wages	632000		
			Delivery staff wages	476000	AO1	both
Corporation tax	(218000)	AO1	Warehouse power	68000	AO2	
			Shops power	102000	AO2	
Profit on ordinary activities after tax	o/f 1023850	AO2		2448330		8
			W3Administrative Expenses			
Total 27 marks		7	Auditors fees	18500		
			Bad Debts Written Off	26000	AO1	both
			Increase in Bad Debt provision	1420	AO3	
			Head office expenses	510000		
			Head office staff	881000	AO1	both
			Head office power	34000	AO2	
				1470920		4
			W5 Financial cost			
			Bank loan interest	12000	AO2	
			Debenture interest	90000	AO2	2
				102000		

Question Number	Answer	Mark
1 (a)(ii)	AO1 (6), AO2 (5), AO3 (5) AO1: Six marks for goodwill, bank and cash, general reserve, debenture, trade payables and bank loan. AO2: Five marks for factory, machinery, motor vans, debenture and bank interest. AO3: Five marks for trade and other receivables, retained earnings, other payables and corporation tax	(16)

Statement of Financial Position of			
Brama Sun plc at 31 March 2017	£	£	£
ASSETS			
Non-current assets			
Property, plant and equipment			
Factory	3 588 000	(1) o/f AO2	
Machinery	395 100	(1) o/fAO2	
Motor vans	131 200	(1) o/f AO2	
		4 114 300	
Goodwill	90 000		
		90 000	
			4 204 300
Current assets			
Inventories	779 000	(1) AO1 both	
Trade and other receivables			
Trade receivables	821 000		
Less allowance for doubtful debts	(16 420)		
	804 580	(1) AO3	
Other receivables	23 000	(1) AO3	

		827 580	
Cash and cash equivalents			
Bank and cash	175 000	(1) AO1	
		175 000	
			<u>1 781 580</u>
Total assets			<u>5 985 880</u>
EQUITY AND LIABILITIES			
Equity			
Share Capital			
Ordinary shares of £0.50	3 700 000	both	
General reserve	56 000	(1) AO1	
Retained earnings	399 380	(1) AO3 o/f	
			4 155 380
Non-current liabilities			
7.5% debenture	1 200 000	(1) AO1	
			1 200 000
Current liabilities			
Trade payables	175 000	(1) AO1	
Other payables	17 500	both	
	24 000	(1) AO3	
Debenture interest	45 000	(1) AO2	
Bank interest	1 000	(1) AO2	
Bank loan – must be current	150 000	(1) AO1	
Corporation tax payable	218 000	(1) AO3	
			<u>630 500</u>
Total equity and liabilities			<u>5 985 880</u>

Question Number	Answer	Mark
1 (b)	AO1(1), AO2 (1), AO3 (4), AO4 (6) <u>For Importance</u> • Auditors are independent scrutineers of the financial statements of the company who report that the financial statements have been prepared “correctly” in accordance with International Accounting Standards and give a true and fair view (or do not). The senior partner will sign the Auditors Report found in the Annual Report, giving the auditors opinion of the financial statements of the company. • Auditors are reporting on how directors have used the funds invested by shareholders. The auditors duty is to the shareholders of the company. • Auditors may report on corporate governance under the following headings: - Leadership – e.g. is there a clear definition of roles - Effectiveness – e.g. does the board have the appropriate skills, experience, knowledge - Accountability – e.g. is the board clear that it is responsible for risk management - Remuneration – e.g. is the pay to board members appropriate - Relations with shareholders – e.g. is a satisfactory dialogue with shareholders taking place • Auditors may give tax authorities more confidence that the tax computation of the company is correct. • Professional supervisory bodies exist to give guidelines to auditors, e.g. Auditing Practices Board. • Auditors should be professionally qualified e.g. Chartered Accountants.	(12)

	<u>Against Importance</u> • Auditors may not be very independent, going along with the wishes of clients, in order to keep their custom, which may include non-audit work. • Auditors could be misled by the directors of the company and provide an inaccurate Report. • Auditors do not guarantee that material fraud has not occurred. <u>Conclusion</u> Auditors role in limited companies is important.		
Level	Mark	Descriptor	
	0	A completely incorrect response.	
Level 1	1 - 3	Isolated elements of knowledge and understanding which are recall based. Weak or no relevant application to the scenario set. Generic assertions may be present.	
Level 2	4 - 6	Elements of knowledge and understanding, which may be applied to the scenario. Chains of reasoning are present, but may be incomplete or invalid. A generic or superficial assessment is present.	
Level 3	7 - 9	Accurate and thorough understanding, supported throughout by relevant application to the scenario. Some analytical perspectives are present, with developed chains of reasoning, showing causes and/or effects. An attempt at an assessment is presented, using financial and non-financial information, in an appropriate format and communicates reasoned explanations.	
Level 4	10 - 12	Accurate and thorough knowledge and understanding, supported throughout by relevant and application to the scenario. A coherent and logical chain of reasoning, showing causes and effects. Assessment is balanced, wide ranging and well contextualised using financial and maybe non-financial information and makes an informed decision.	

SOURCE MATERIAL FOR USE WITH QUESTION 2

- 2 Jesorre Carpets plc produces carpets at its factory. The carpets are then delivered to the company's shops, before sale to customers. At 31 December 2015, the following balances were in the books.

	Debit	Credit
	£	£
Advertising	175 000	
Bad debts	23 000	
Bank		5 500
Bank interest	43 000	
Cash	38 000	
Direct materials	988 000	
Discount allowed	105 000	
Discount received		42 000
Factory buildings at cost	1 950 000	
Factory buildings – provision for depreciation		437 000
Head office expenses	296 000	
Inventory at 1 January 2015	931 000	
Long term bank loan		200 000
Machinery – net book value	712 000	
Motor vans at cost	198 000	
Motor vans – provision for depreciation		99 000
Ordinary shares £0.25		2 000 000
Other payables		12 000
Rent on shop premises	417 000	
Retained earnings		760 220
Revenue		5 472 000
Sales commission	54 720	
Trade receivables	241 000	
Trade payables		274 000
Transport costs	165 000	
Wages	<u>2 965 000</u>	
	<u>9 301 720</u>	<u>9 301 720</u>

Additional information at 31 December 2015

- Inventory £889 000
- Rent on shop premises owing is £7 000
- Head office expenses include £24 000 paid in advance
- Wages consist of:

	£
Direct factory labour	1 007 000
Head office staff	382 000
Shop staff	1 357 000
Transport staff	219 000

- Assuming a nil residual value and using the straight line method
 - the factory building is to be depreciated over a 50-year life
 - the motor vans are to be depreciated over a five-year life
- Machinery is to be depreciated using the reducing balance method of 20% per annum
- All interest on the bank loan has been paid before the year end
- A Corporation tax provision is to be made for £10 000, which is to be paid by 30 April 2016.

Required:

- (a) Prepare, in accordance with International Accounting Standard (IAS) 1 (Revised), a:
- (i) Statement of Comprehensive Income for the year ended 31 December 2015 (25)
 - (ii) Statement of Financial Position at 31 December 2015. (15)
- (b) Evaluate the importance of the Directors' Report that accompanies the financial statements. (12)

(Total for Question 2 = 52 marks)

Answer space for Question 2 is on pages 8 to 15 of the question paper.

2(a)(i)			W1 Cost of Sales			
Statement of Comprehensive Income for			Direct factory labour	1 007 000		
Jessorre Carpets plc for y/e 31 December 2015			Direct Materials	988 000	✓	need 2
			Less Discount Received	(42 000)	✓	
Revenue	5 472 000	✓	Factory Depreciation	39 000	✓	
			Machinery Depreciation	142 400	✓	
Cost of sales	(2 176 400)	✓ o/f	Inventory Adjustment	42 000	✓	
				2 176 400		5 x ✓
Gross profit	3 295 600	✓ o/f				
			W2 Distribution Costs			
Distribution costs	(2 539 320)	✓ o/f	Advertising	175 000	✓	
			Discount Allowed	105 000	✓	
Administrative expenses	(677 000)	✓ o/f	Rent on shop premises	424 000	✓	
			Depreciation on motor vans	39 600	✓	
Financial cost	(43 000)	✓ o/f	Sales Commission	54 720	✓	
			Transport costs	165 000	✓	
Profit on ordinary activities before tax	36 280	✓ o/f	Shop staff wages	135 7000		
			Transport staff wages	219 000	✓	need 2
Corporation tax	(10 000)	✓		2 539 320		7 x ✓
Profit on ordinary activities after tax	26 280	✓o/f	W3Administrative Expenses			
			Bad Debts Written Off	23 000	✓	
			Head office expenses	272 000	✓	
Total 25 x ✓	9 x ✓		Head office staff	382 000	✓	
				677 000		3 x ✓
			W5 Financial cost			
			Bank interest	43 000	✓	1 x ✓

(a)(ii) Statement of Financial Position of				
Jesorre Carpets plc as at 31 December 2015				
ASSETS				
Non-current assets				
Property, Plant & Equipment				
Buildings		1 474 000	✓ of	
Machinery		569 600	✓ of	
Motor vans		59 400	✓ of	
			2 103 000	
Current Assets				
Inventories		889 000	✓	
Trade and Other Receivables				
Trade receivables	241 000	✓		
Prepayments	24 000	✓		
		265 000		
Cash and Cash Equivalents				
Cash	38 000	✓		
		38 000		
			1 192 000	
Total Assets			3 295 000	
EQUITY AND LIABILITIES				
Equity				
Share Capital				
Ordinary shares of £0.25		2 000 000	✓	
Retained Earnings		786 500	✓ of	
			2 786 500	
Non-Current Liabilities				
Long Term Borrowings				
Long term bank loan	200 000	✓		
			200 000	
Current Liabilities				
Trade and other Payables				
Trade Payables	274 000	✓		
Other payables	19 000	✓		
		293 000		
Short Term Borrowings				
Bank		5 500	✓	
Current Tax Payable				
Corporation Tax Payable		10 000	✓	
			308 500	
Total Equity and Liabilities			3 295 000	✓ C

Total 15 x ✓

2 (b)

Answers may include:

Case For Directors' Report

- Report gives information to e.g. shareholders which they could use to make a decision ✓ e.g. invest more funds in the company. ✓
- Shareholders / readers may be assured the company is acting in an ethical manner. ✓
- Other stakeholders e.g. pressure group ✓ may use information in the Report to bring about change in company policy ✓ e.g. treatment of disabled. ✓
- Disclosures may be required under Stock Exchange regulations, ✓ which may be appropriate in the Directors' Report ✓ e.g. legislation pending. ✓
- The Director's Report could be considered part of the corporate governance. ✓
- Information is given to shareholders which allows them to see in some detail how the company is performing ✓
 - E.g. company performance/principal activities, ✓ review of the position of the business ✓
 - Post balance sheet events, ✓ future developments ✓
 - Names of directors, ✓ interests of directors ✓
 - Employee involvement, ✓ disabled employees policy ✓
 - Political ✓ and charitable donations ✓
 - Creditor payment policy, ✓ creditor payment days ✓

(Maximum of 4 marks for listing of items contained in Report)

Case Against Directors' Report

- Report costs personnel time ✓ to prepare and money to print etc. ✓
- Directors may use Report to "window dress" the accounts, ✓ ie give an inaccurate/unrealistic positive view of the company, ✓ as it is in their interest to do so. ✓
- There is a time delay before the Directors Report is published so events may have changed. ✓

Maximum 8 Marks for arguing one side only

Conclusion 2 Marks

Should relate to above points. E.g. Directors' Report is useful. ✓✓

(12)

(Total: 52 marks)

SECTION A

SOURCE MATERIAL FOR USE WITH QUESTION 1

- 1 Compass Tablets plc produces tablet computers at its factory. These are then delivered to the company's warehouse, before sale to trade customers.

The following balances were in the books at 30 September 2016:

	Debit £	Credit £
Advertising and marketing costs	734 000	
Bad debts	323 000	
Bank	656 000	
Bank interest		6 200
Cash	342 000	
Corporation tax	680 000	
6.5% Debenture 2020		10 000 000
Direct materials	7 943 500	
Discount allowed	1 064 000	
Discount received		619 000
Factory buildings (cost)	21 000 000	
Factory buildings depreciation		4 620 000
Fuel and power	848 000	
Head office expenses	3 211 000	
Interest on debenture	325 000	
Inventory at 1 October 2015	1 758 000	
Motor vehicles (cost)	1 800 000	
Motor vehicles depreciation		988 000
Ordinary shares of £0.25		15 050 000
Other payables		49 000
Patents	750 000	
Production machinery (cost)	3 200 000	
Production machinery depreciation		998 000

Retained earnings	2 354 700	
Revenue		29 870 000
Sales commission	2 130 000	
Trade payables		1 288 000
Trade receivables	3 240 000	
Wages	5 510 000	
Warehouse premises (cost)	7 750 000	
Warehouse premises depreciation	_____ –	<u>2 131 000</u>
	<u>65 619 200</u>	<u>65 619 200</u>

Additional information at 30 September 2016

- The debenture interest is paid every 6 months, in March and September. The interest due to be paid in September is outstanding.
- Inventory £1 424 000
- Advertising and marketing costs owing £124 000
- Head office expenses include £18 900 paid in advance.
- Wages consist of:

	£
Production staff	2 970 000
Head office staff	1 514 000
Motor vehicle drivers	1 026 000

- Assuming a nil residual value and using the straight line method, the
 - factory buildings are to be depreciated over a 50-year life
 - motor vehicles are to be depreciated over a 5-year life
 - production machinery is to be depreciated over a 10-year life
 - warehouse is to be depreciated over a 40-year life.
- Fuel and power consists of:

	£
Motor vehicles	525 000
Factory	226 000
Head office	97 000

- Corporation Tax payment has been made for £680 000. The Corporation Tax total for the year will be £1 350 000. A provision is to be made for the difference.

Required:

- (a) Prepare for Compass Tablets plc, in accordance with International Accounting Standard 1 (IAS1) (Revised), a:
- (i) Statement of Comprehensive Income for the year ended 30 September 2016 (23)
 - (ii) Statement of Financial Position at 30 September 2016. (17)
- (b) Evaluate the performance of Compass Tablets plc for the year ended 30 September 2016 and the financial position at 30 September 2016. (12)

(Total for Question 1 = 52 marks)

Answer space for Question 1 is on pages 2 to 8 of the question paper.

Section A

1(a)(i)			W1 Cost of Sales			
			Opening inventory	1 758 000		
Statement of Comprehensive Income for			Direct materials	7 943 500		
Compass Tablets plc for year ending 30th September 2016			Less discount received	-619 000	✓	both
			Factory depreciation	420 000	✓	
Revenue	29 870 000	✓	Machinery depreciation	320 000	✓	
			Direct factory labour	2 970 000		
Cost of sales	(11 594 500)	✓ o/f	Factory fuel	226 000	✓	both
			Closing inventory	-1 424 000	✓	both
Gross profit	18 275 500	✓ o/f		11 594 500		5 x ✓
Distribution costs	(6 156 750)	✓ o/f	W2 Distribution Costs			
			Advertising and marketing	858 000		
Administrative expenses	(5 126 100)	✓ o/f	Discount allowed	1 064 000	✓	both
			Warehouse depreciation	193 750	✓	
Other Income - Interest receivable	6 200	✓	Depreciation on motor vehicles	360 000	✓	
			Fuel costs	525 000		
Financial cost	(650 000)	✓	Motor vehicle driver wages	1 026 000	✓	both
			Sales commission	2 130 000	✓	
Profit on ordinary activities before tax	6 348 850	✓ o/f		6 156 750		5 x ✓
Corporation tax	(1 350 000)	✓	W3 Administrative Expenses			
			Bad debts written off	323 000	✓	
Profit on ordinary activities after tax	4 998 850	✓ o/f	Head Office staff	1 514 000		
			Head Office fuel	97 000	✓	both
Total 23 x ✓	10 x ✓		Head Office expenses	3 192 100	✓	
				5 126 100		3 x ✓

1(a)(ii)

Statement of Financial Position of Compass Tablets plc at 30 Sept 2016

ASSETS				
Non-current Assets	Carry over			
Property, plant & equipment	value			
Factory buildings	15 960 000	√		
Warehouse premises	5 425 250	√		
Production machinery	1 882 000	√		
Motor vehicles	452 000	√		
		23 719 250		
Intangibles - Patents		750 000	√	
			24 469 250	
Current Assets				
Inventories		1 424 000	√	
Trade and Other Receivables				
Trade receivables	3 240 000	√		
Prepayments	18 900	√		
		3 258 900		
Cash and Cash Equivalents				
Bank	656 000			
Cash	342 000	√ both		
		998 000		
			5 680 900	
Total Assets			30 150 150	

EQUITY AND LIABILITIES			-	
Equity				
Share Capital				
Ordinary shares of £0.25		15 050 000	√	
Retained earnings		2 644 150	√ o/f	
			17 694 150	
Non-current Liabilities				
Debenture 6.5% 2020	10 000 000	√		
			10 000 000	
Current Liabilities				
Trade and other payables				
Trade payables	1 288 000			
Other payables	49 000	√ both		
Advertising owing	124 000	√		
Debenture interest	325 000	√		
		1 786 000		
Provisions				
Corporation tax		670 000	√	
			2 456 000	
Total Equity and Liabilities			30 150 150	√ o/f
Total 17 x	√			

1(b)

Strengths

Gross Profit is good ✓ at 61% of revenue. ✓

Net Profit before tax is good ✓ at 21% of revenue. ✓ This compares very well to eg bank deposits in times of low interest rates. ✓

Net Profit before tax for this year is £6.3m OR Net profit after tax for this year is £4.9m – very good. ✓

Return on Capital Employed is excellent ✓ at 25.27%, using the end year figure for capital employed ✓

Earnings per share is 8.3 pence per share ✓ which is good. ✓

Current ratio is good ✓ at 2.31:1. ✓

Acid ratio is good ✓ at 1.73:1. ✓

Working capital is good ✓ at £ 3 224 900. ✓

Company has tax bill of £670 000 to pay in 3 months, ✓ and £998 000 cash and bank. ✓

Gearing is good ✓ at 36%. ✓

Compass is in the tablet computer sector and there may be opportunities for expansion and investment. ✓

Weaknesses

Current ratio may be a little too high ✓ liquid funds maybe are not being used efficiently. ✓

Acid ratio is too high. ✓

Company has taken out a debenture of £10m until 2020 ✓ and will have to pay interest. ✓

Maximum of 8 marks for arguing only one side.

Conclusion - 2 marks

Should relate to points made above.

E.g. Compass Tablets plc has had a good trading year ✓ and has no serious liquidity problems. ✓

(12)

Total for Question 1 = 52 Marks